

Hyperinflation



During its hyperinflation crisis in the early 1930s, Germany was forced to print banknotes with values of tens of millions of marks.

Hyperinflation has been defined as monthly inflation of above 50 per cent. At these levels, inflation can cause wholesale economic collapse. Episodes of hyperinflation are caused by governments printing huge amounts of money in order to meet spending needs. Often this happens when they are in dire financial straits – with a high budget deficit or debt level (see [Budget deficit and surplus](#)) and little capacity to raise taxes or borrow. These were the conditions around German hyperinflation in the 1920s.

Even in normal economic times, the creation of money by governments is one source of revenue – as this creates inflation it can be thought of as an ‘inflation tax’. Under hyperinflation, this process goes so far and so fast that the system of money breaks down. Because money loses value so fast, people spend it immediately, attempting to hold their wealth as goods or as foreign currency. Scenes of people going to the shops with wheelbarrows full of notes are emblematic of the economic disintegration caused by hyperinflation.